



Engineering College

(An Autonomous Institution)

Tiruvannamalai, Tamil Nadu

Affiliated to Anna University

• NBA & NAAC Accredited

• An ISO 9001-2015 Certified Institution

APPROVAL LETTER

The foregoing policy document entitled “AEC Innovation & Startup Policy” is hereby approved for formal submission to the Innovation Cell, Ministry of Education, Government of India.

Arunai Engineering College will implement the approved policy in accordance with the guidelines of the National Innovation and Startup Policy (NISP) for Higher Education Institutions.

The policy will be implemented to promote innovation, entrepreneurship, and startup culture among students and faculty members of the institution.



C. P. Principal 13/05/26

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AEC INNOVATION AND STARTUP POLICY

1. STRATEGIES AND GOVERNANCE

- a. Entrepreneurship promotion and development will be one of the major dimensions of Arunai Engineering College (AEC)'s strategy.
- b. AEC will develop an entrepreneurial ecosystem within the organization, with clearly defined objectives and associated performance indicators for assessment.
- c. The entrepreneurial agenda shall be led by a senior faculty member at the institutional level, ensuring strong commitment and a clear understanding among higher authorities.
- d. A resource mobilization plan shall be developed by the institute to support pre-incubation and incubation infrastructure and facilities.
- e. Investment in entrepreneurial activities will form a part of the institutional financial strategy.
- f. A minimum of 1% of the institution's total annual budget shall be allocated to support innovation and startup-related activities through the creation of a separate "Innovation Fund."
- g. AEC may also raise funds through sponsorships and donations. The institute should actively engage its alumni network to promote Innovation and Entrepreneurship (I&E).
- h. The importance of innovation and the entrepreneurial agenda will be promoted and highlighted through institutional programs such as conferences, seminars, and workshops.
- i. A Student and Faculty Startup Policy and action plan should be framed at the institute level, with guidance from a mentor, aligned with the current document and including well-defined short-term and long-term goals.
- j. A product-to-market strategy for startups will be developed by the institute on a case-by-case basis.

2. STARTUPS ENABLING INSTITUTIONAL INFRASTRUCTURE

- a. Creation of Pre-incubation and Incubation facilities for nurturing innovations and startups in AEC shall be undertaken.
- b. The goal of the effort should be to link INNOVATION to ENTERPRISE to financial success.
- c. Monitoring and review committee shall review the progress of startup by students, and based on merit, it may be considered giving appropriate credits for academics.
- d. AEC will allow faculty and staff to take off for a semester/year depending upon the decision of review committee constituted by the institute as sabbatical/unpaid leave/casual leave/earned leave for working on startups and come back.
- e. Institution shall allow use of its resources to faculty/students/staff wishing to establish startup as a full-time effort.
- f. The seniority and other academic benefits during such period may be preserved for such staff or faculty.

- g. Institute will facilitate the startup activities/technology development by allowing students/faculty/staff to use institute infrastructure and facilities, as per the choice of the potential entrepreneur in the following manners:
- h. Short-term/six-month/one-year part-time entrepreneurship training.
- i. Mentorship support on regular basis.
- j. AEC will facilitate variety of areas including technology development, ideation, creativity, design thinking, fund raising, financial management, cash-flow management, new venture planning, business development, product development, social entrepreneurship, product costing, marketing, brand development, human resource management as well as law and regulations impacting a business.
- k. AEC may also link the startups to other seed-fund providers/angel funds/venture funds or itself may set up seed-fund once the incubation activities mature.
- l. In return of the services and facilities, institute may take 4.5% equity stake in the startup/company, based on brand used, faculty contribution, support provided and use of institute's IPR.
- m. No restriction on shares that faculty/staff can take, as long as they do not spend more than 20% of office time on the startup in advisory or consultative role and do not compromise with their existing academic and administrative work/duties.
- n. AEC can extend this startup facility to alumni of the institute as well as outsiders.
- o. Participation in startup related activities is considered as a legitimate activity of faculty in addition to teaching, R&D projects, industrial consultancy and considered while evaluating the annual performance.
- p. AEC shall create facilities within the institution for supporting pre-incubation (e.g., IICs as per the guidelines by MHRD's Innovation Cell, EDC, IEDC, New-Gen IEDC, Innovation Cell, Startup Cell, Student Clubs, etc.) and incubation acceleration by mobilizing resources from internal and external sources.
- q. This Pre-Incubation/Incubation facility will be accessible 24x7 to students, staff and faculty of all disciplines and departments nominated in the committee list through the institution.
- r. AEC shall offer mentoring to institutions at the same level/schools and other relevant services through Pre-incubation/Incubation units in-return for fees, equity sharing and (or) zero payment basis.

3. NURTURING INNOVATIONS AND START UPS

- a. AEC will establish processes and mechanisms for easy creation and nurturing of startups/enterprises by students, staff (including temporary or project staff), faculty, alumni and potential startup applicants even from outside the institution.

- b. While defining the processes, the institution ensures to offer incubation support: Offer access to pre-incubation & incubation facility to startups by students, staff and faculty for mutually acceptable time-frame.
- c. The institution will allow licensing of IPR from institute to startup.
- d. AEC will allow setting up a startup and working part-time for the startups while studying/working.
- e. The institution shall allow the students/staff to work on their innovative projects and setting up startups (including Social Startups) or work as intern/part-time in startups (incubated in any recognized HEIs/Incubators) while studying/working.
- f. Student Entrepreneurs may earn credits for working on innovative prototypes/Business Models.
- g. Student inventors may also be allowed to opt for startup in place of their project/major project, seminars, summer trainings. The area in which student wants to initiate a startup may be interdisciplinary or multidisciplinary. However, the student must describe how they will separate and clearly distinguish their ongoing research activities as a student from the work being conducted at the startup.
- h. Students entrepreneurs should be allowed to sit for the examination, even if their attendance is less than the minimum permissible percentage, with due permission from the institute.
- i. Product development and commercialization as well as participating and nurturing of startups will be added to a bucket of faculty duties and each faculty will choose a mix and match of these activities (in addition to minimum required teaching and guidance) and then respective faculty are evaluated accordingly for their performance and promotion.

4.PRODUCT OWNERSHIP RIGHTS FOR TECHNOLOGIES DEVELOPED AT INSTITUTE

a. Ownership of Intellectual Property

At Arunai Engineering College (AEC), any technology, invention, design, software, or product developed:

- ✓ Using college laboratories, research facilities, funding, or infrastructure, or
- ✓ As part of academic curriculum, student projects, thesis, or sponsored research shall be considered joint intellectual property (IP) of:
 - ✓ The inventor(s) (students, faculty, researchers), and
 - ✓ The institution (AEC)

This ensures that both innovation and institutional support are recognized.

b.Role of AEC Research & IPR System

AEC promotes innovation through its R&D Cell, which:

- ✓ Encourages research, product development, and patents
- ✓ Supports collaboration with industry and government agencies

The IPR Cell / Incubation Center at AEC will:

- ✓ Guide inventors in patenting, licensing, and commercialization
- ✓ Act as a facilitator between inventors and industry
- ✓ Ensure compliance with institutional and legal frameworks

c. Commercialization and Licensing

The product/IPR developed at AEC may be licensed to companies under mutually agreed terms.

The inventors will have primary decision-making authority, with support from AEC.

Licensing models may include:

Upfront / Technology Transfer Fee

Royalty Model (percentage of product sales)

Equity/Shareholding in the company

d.Startup / Incubation by Inventors

If inventors wish to start a company (startup) within or outside AEC incubation:

The product can be licensed to their startup

AEC will receive a royalty of 4% of the sale price

For software-based products, revenue sharing will be mutually agreed

AEC encourages entrepreneurship aligned with its mission of innovation and societal development

e.Dispute Resolution Mechanism

In case of disputes regarding ownership or revenue sharing:

AEC will constitute a 5-member committee:

2 faculty members with IPR/commercialization experience

2 industry experts/alumni

1 legal expert in IPR

The committee will:

Review evidence

Consult inventors

Provide a fair and transparent resolution

External experts may be included if required.

f.Governance and Decision-Making

All decisions related to:

IPR ownership, Technology licensing, Startup incubation will be handled by a specialized AEC committee consisting of:

Faculty with research experience and Industry experts

g. Revenue Sharing

Revenue generated from commercialization will be shared between:

Inventors and AEC

The exact ratio will depend on:

Level of institutional support

Type of product (hardware/software)

Licensing model

5. ORGANIZATIONAL CAPACITY, HUMAN RESOURCES AND INCENTIVES

- a. AEC will appoint faculty members who possess strong innovation and entrepreneurial experience, along with a business development mindset toward entrepreneurial activities. This will help in building a culture of innovation and entrepreneurship.
- b. Faculty members and departments within the institute will work in close coordination. Cross-departmental linkages will be strengthened through shared faculty, interdisciplinary teaching, and collaborative research to ensure optimal utilization of internal resources and knowledge
- c. The institute will periodically engage external subject matter experts, such as guest lecturers and alumni, to provide strategic guidance and introduce skills that may not be available internally.
- d. Faculty members will be encouraged to undertake courses and training in innovation, entrepreneurship management, and venture development.
- e. To attract and retain the right talent, the institute will develop both academic and non-academic incentives and reward mechanisms for staff and stakeholders who actively contribute to and support the entrepreneurial agenda. The reward system will be based on a performance matrix that includes parameters such as innovation, startups, consultancy, and funded projects.

6. CREATING INNOVATION PIPELINE AND PATHWAYS FOR ENTREPRENEURS AT INSTITUTE LEVEL

- a. AEC will ensure that a maximum number of students are exposed to innovation and pre-incubation activities at early stages, supporting the progression from ideation to innovation and ultimately to successful commercialization.
- b. Initiatives such as idea and innovation competitions, hackathons, workshops, boot camps, seminars, exhibitions, mentoring by academic and industry experts, real-life problem-solving challenges, and awards and recognition programs will be organized on a regular basis.
- c. AEC will establish an Institution's Innovation Council (IIC) in accordance with the guidelines of the MHRD's Innovation Cell and will allocate an appropriate budget (minimum 1%) for its activities.
- d. Networking events will be organized to provide a platform for budding entrepreneurs to interact with investors and present (pitch) their ideas.

7. NORMS FOR FACULTY STARTUPS

- a. Only technologies developed within the institute, with faculty members as the lead inventor, shall be considered as Faculty Startups.
- b. The role of faculty in a startup may vary, including being an owner, promoter, mentor, consultant, or advisor.
- c. A Faculty Startup may consist of faculty members alone or in collaboration with students, faculty from other institutes, alumni, or external entrepreneurs.

- d. If a faculty member holds an executive or managerial position in a startup for more than three months, they shall avail sabbatical leave without pay or as per institute norms.
- e. Faculty members must clearly separate and distinguish their ongoing research at the institute from work carried out for the startup or company.
- f. Faculty members must not accept gifts or undue benefits from the startup.
- g. Faculty members must not involve institute research staff or other employees in startup activities without proper approval, and vice versa.
- h. Any research involving human subjects conducted through the startup must obtain prior approval from the Institutional Ethics Committee.

8. PEDAGOGY AND LEARNING INTERVENTIONS FOR ENTREPRENEURSHIP DEVELOPMENT

- a. Student clubs will be established to organize competitions, boot camps, workshops, awards, and related activities. Club representatives will be involved in institutional strategy planning to enhance students' critical thinking and responsiveness.
- b. AEC will conduct competitions for students and present an annual "Innovation & Entrepreneurship Award" to recognize outstanding ideas, successful enterprises, and contributors who promote the innovation and entrepreneurial ecosystem within the institute.
- c. To create awareness among students, value-added programs will be conducted. Motivational lectures will also be organized by inviting successful startup founders and entrepreneurs.
- d. Innovation champions will be nominated from among students and faculty for each department or stream of study.
- e. Entrepreneurship education will be imparted at curricular, co-curricular, and extracurricular levels through elective, short-term, and long-term courses on innovation, entrepreneurship, and venture development.
- f. At the beginning of every academic session, AEC will conduct an induction program highlighting the importance of Innovation and Entrepreneurship (I&E), ensuring that newly admitted students are aware of the institute's entrepreneurial agenda and available support systems.
- g. AEC will organize industry-linked programs focusing on emerging trends in technology, research, innovation, and market intelligence.
- h. Learning objectives developed by the institute to inculcate an entrepreneurial culture will be continuously reviewed and updated.

9. COLLABORATION, CO-CREATION, BUSINESS RELATIONSHIPS AND KNOWLEDGE EXCHANGE

- a. AEC will collaborate with potential partners, resource organizations, micro, small and medium enterprises (MSMEs), social enterprises, schools, alumni, professional bodies, and entrepreneurs to support entrepreneurship and co-design entrepreneurial activities.

- b. AEC will organize networking events and create opportunities for faculty and students to ensure a continuous flow of ideas and knowledge through meetings, workshops, lectures, and related activities.
- c. AEC will develop policies and guidelines for establishing and managing relationships with external stakeholders, including private industries.
- d. As part of its institutional policy, AEC will provide support mechanisms and guidance for creating, managing, and coordinating these relationships.
- e. Through formal and informal mechanisms such as internships, teaching and research exchange programs, clubs, and social interactions, faculty, staff, and students will be given opportunities to connect with the external environment.
- f. A Single Point of Contact (SPOC) mechanism will be established within the institute for students, faculty, collaborators, partners, and other stakeholders to ensure easy access to information.
- g. Knowledge management will be facilitated through effective use of Information and Communication Technology (ICT) systems.

10. ENTREPRENEURIAL IMPACT ASSESSMENT

- a. The institute's NISP Committee will periodically assess the impact of entrepreneurial activities initiated by the institute.
- b. Activities such as pre-incubation, incubation, proof of concept development, prototyping, business ideation, valuation, and intellectual property (IP) creation will be regularly monitored.
- c. Key performance indicators, including the number of startups created, support systems provided at the institutional level, participant satisfaction, and new business relationships established, will be recorded and used for impact assessment.
- d. The impact of the institute's entrepreneurial initiatives—such as pre-incubation, incubation, entrepreneurship education, knowledge exchange programs, and the involvement of all departments and faculty in entrepreneurial teaching and learning—will be regularly evaluated and monitored.
- e. The effectiveness of support systems provided to student entrepreneurs, faculty, and staff—including pre-incubation, incubation, IPR protection, industry linkages, and exposure to the entrepreneurial ecosystem—will be systematically measured.
- f. Strategy formulation and impact assessment will be carried out simultaneously. Insights gained from impact assessments will be actively used in developing and refining the institute's entrepreneurial strategy.
- g. Impact assessment will measure success in terms of sustainable social, financial, and technological outcomes in the market.
- h. For innovations at the pre-commercial stage, the development of a sustainable enterprise model will be validated through the institute's entrepreneurial network.